



STAFF REPORT

CITY OF YORBA LINDA

Finance Department

DATE: NOVEMBER 19, 2024

TO: HONORABLE MAYOR AND MEMBERS OF THE CITY COUNCIL

FROM: SUNNY HAN, FINANCE DIRECTOR / CITY TREASURER

SUBJECT: TRAFFIC DEVELOPMENT IMPACT FEES ANNUAL REPORT FOR FISCAL YEAR 2023/24 AND FIVE-YEAR REPORT

RECOMMENDATION

It is recommended that the City Council receive and file the annual report of traffic development impact fees for the fiscal year ended June 30, 2024, as well as the five-year report, both as required by the Mitigation Fee Act. The City has opted to make the required five-year findings for impact fees every year when the annual report is presented. This increases efficiency and public transparency.

BACKGROUND

State law (Government Code Section 66006) requires each local agency that imposes development impact fees to follow certain accounting procedures for tracking fee revenue received and to prepare an annual report providing specific information about those fees. These requirements are part of the law commonly referred to as AB 1600 or the Mitigation Fee Act ("The Act"). The annual report must be reviewed by the City Council at a regularly scheduled public meeting not less than 15 days after the information is made available to the public. In addition, notice of the time and place of the meeting must be mailed at least 15 days prior to the meeting to any interested party who files a written request with the City for such a mailed notice. A copy of this staff report was made available at the City Clerk's office and on the City website on November 4, 2024, in compliance with the Act.

The Act also requires that in the fifth fiscal year following the first receipt of a development impact fee and at least every five years thereafter the local agency must make certain findings with respect to any portion of the fee remaining unexpended, whether committed or uncommitted. These findings must 1) identify the purpose to which the fee is to be put, 2) demonstrate a reasonable relationship between the fee and the purpose for which it is charged, 3) identify all sources and amounts of funding anticipated to be utilized to complete incomplete improvements, and 4) provide the approximate dates on which the anticipated funding is expected to be received. Although the traffic development impact fee is potentially not subject to the requirements of the Act, the City is following these requirements out of an abundance of caution.

DISCUSSION / ANALYSIS

City Council Resolution No. 93-2830, adopted by the City Council on June 15, 1993, established the City's traffic development impact fee, which is assessed on new development to fund construction of roadway facilities necessitated by new development.

State law requires that certain content be included in the annual report, which is provided below:

A) A Brief description of the type of fee – The purpose of the fee is to ensure that new development is paying its share of the transportation infrastructure costs associated with the growth proposed.

B) The Amount of the fee – The current fee is charged based on the land use and zoning of the development project as follows:

- Residential \$600 per unit
- Industrial \$0.15 per square foot
- Office \$0.48 per square foot
- Commercial \$1.98 per square foot

C) The beginning and ending balance of the funds – See D below.

D) The amount of the fees collected and the interest earned – The table below summarizes the activity for the fiscal year ended June 30, 2024.

Item	Amount
Balance as of July 1, 2023	\$ 579,506.64 ¹
Fees Received	13,917.20
Interest Revenue	26,454.55
Total Available Resources	\$ 619,878.39
Expenditures	161,090.17
Balance as of June 30, 2024	\$ 458,788.22

¹ The beginning fund balance has been adjusted by \$2,125.21 to reflect the final audited balance.

E) An identification of each public improvement on which fees were expended and the amount of the expenditures on each improvement, including the total percentage of the cost of the public improvement that was funded with the fees - Funds were expended during fiscal year 2023/24 for the following projects:

Project	Total Project Cost	Percentage Funded ¹
Savi Ranch Pkwy. Improvements	\$36,391.43	12%
Bastanchury Road Median Modification	40,522.91	100%
Traffic Signal - Bastanchury Rd. at Casa Loma Ave.	15,429.06	4%
Active Transportation Plan Study	9,870.16	4%
Traffic Calming / Safety /Operations Improvements	58,876.61	100%
\$161,090.17		

¹ This is the amount of the project funded with impact fee revenue.

F) An identification of an approximate date by which the construction of the public improvement will commence if determined that sufficient funds have been collected to complete financing on an incomplete public improvement, and the public improvement remains incomplete – The City has not determined that sufficient funds have been collected to complete financing of incomplete public improvements other than any improvements that were completed during the current fiscal year.

G) A description of each interfund transfer or loan made from the funds – None.

H) The amount of refunds made pursuant to Section 66001(e) – None.

State law requires that at least every five years certain findings be made with respect to each impact fee being assessed. The following information is provided to satisfy this requirement:

(A) Identify the purpose to which the fee is to be put – The purpose of the traffic development impact fee is to ensure that new development is paying its share of the transportation infrastructure costs associated with the growth proposed.

(B) Demonstrate a reasonable relationship between the fee and the purpose for which it is charged – The fee is based on the relationship between the needed transportation infrastructure costs associated with the growth proposed.

(C) Identify all sources and amounts of funding anticipated for incomplete improvements – Roadway facilities to be funded from traffic development impact fees are funded by other sources including gas tax, Measure M, General Fund, and grant funding. The specific funding sources utilized for each project depend on funds availability at the time a project is moved forward.

(D) Designate the approximate dates on which the funding is expected to be deposited into the appropriate account or fund – The receipt of funding and the construction of improvements is dependent upon when undeveloped land remaining

in the City is developed. Facilities constructed utilizing traffic development impact fee funding are constructed when all required funding is available and the City Engineer has determined that it is appropriate for the project to move forward.

FISCAL IMPACT

There is no direct fiscal impact associated with this report.